



**UNCERTAIN TIMES:** People carry the body of a blast victim in Dera Ismail Khan

ing over power politics has been on Pakistan's economy, which has been on a downslide since the launch of the lawyers' and civil society's movements against Musharraf last year. With government not providing the needed focus in the first six months after elections, the economy—touted by Musharraf as one of his biggest achievements—is now in a tailspin, according to economists. Foreign exchange reserves, which had crossed \$16 billion are now down to less than \$9 billion. Trade deficits have widened to almost \$20 billion, fiscal deficits are almost 5 per cent of the GDP, and the rupee has lost over 10 per cent of its value in the last few months. Coupled with unprecedented power shortages and a rise in the price of basic utilities, industry has been severely hit, leading to a gloomy outlook in which debt servicing is bound to rise as many of Pakistan's loans—rescheduled after 2001—become due. Perhaps most importantly for the common Pakistani, inflation over the last 12 months has hit a whopping 25 per cent on average, and almost 35 per cent in areas such as food and transport.

Pakistan is also caught between the demands of its Western allies—and India—to do more in

the war on terror, and the rising unpopularity of the army's role against extremists in the north-west of the country, the Federally Administered Tribal Areas. Continuing army actions in the regions bordering Afghanistan have led to lakhs being displaced from their homes and hundreds of casualties. But the rising tide of Talibanisation and extremist violence—involving suicide attacks throughout Pakistan—also threatens to tear apart the very fabric of the country.



## WHY INDIA HAS TO WORRY

Caught in the middle is the Pakistan Army, which continues to suffer huge losses in actual warfare. Army chief Kayani would like nothing better than for the army to be perceived as simply carrying out the orders of the political leadership, rather than be seen as a client army doing America's bidding, as it was seen under Musharraf. But he is mindful of protecting the military's interests as well. There is a growing feeling within the armed forces that an international game is afoot to cut it down to size, led by vested Western interests and supported by regional players, such as the regime in Afghanistan and also by India. In particular, it is convinced that the troubles in the mineral and gas-rich Balochistan are being fanned and funded by the Indian and Afghan secret services.

For India, the new political dispensation had promised to transform relations between the two countries. Zardari had talked of a "grand reconciliation" and of making "Pakistan a force multiplier of India". But five months later, India-Pakistan relations are as Foreign Secretary Shivshankar Menon put it, "under stress". The Kabul terror attack and the bomb blasts in Bangalore and Ahmedabad saw India reading the riot act to Pakistan. Meanwhile the LOC, which had been quiescent for years, has suddenly turned live with 24 incidents of firing between the two armies since April. Indian analysts see the increase in attacks as the Pakistan Army's way of taking the heat off US pressure to put more troops on the Afghan border. Also the Pakistan Army appears to be quietly re-asserting control over foreign policy. With the Manmohan Singh Government being accused of having a soft approach towards terror and Pakistan, tensions are bound to rise, making rapprochement in the short term difficult. As another Indian analyst put it, "Pakistan has gone back to its bad old ways." The only difference is that Musharraf is no longer the punching bag. Though no one is truly missing the former dictator. Yet.

## PAKISTAN'S INDIA GAMEPLAN

- Pakistan says RAW fomenting terror in Balochistan and tribal areas in connivance with Afghan secret agencies as part of greater plan to encircle Pakistan and bleed it through a proxy war, while India drags its feet on Kashmir and Slachen.
- India says the Kabul attack and blasts in Bangalore and Ahmedabad are part of an ISI gameplan to harden relations, while the LoC is witnessing repeated firings that shift the focus from the battle against the Taliban.
- The result is relations between the two are under stress.